Contract Specification for Gold Mini Options with Gold Mini (100 grams) Futures as underlying

Symbol	GOLDM
Underlying	Underlying shall be Gold Mini Futures contract traded on MCX
Description	Option on Gold Mini Futures
Option type	European Call & Put Options
Contract Listing	Contracts will be available as per the Contract Launch Calendar.
Contract Start Day	6th day of contract launch month. If 6th day is a holiday then the following business day.
Expiry Day (Last Trading Day)	Three business days prior to the first business day of Tender Period of the underlying futures contract.
Trading	
Trading Period	Mondays through Friday
Trading Session	Monday to Friday: 9.00 a.m. to 11.30 / 11.55 p.m.* * based on US daylight saving time period
Trading Unit	One MCX Gold Mini futures contract
Underlying Quotation/ Base Value	Rs. per 10 grams
Maximum Order Size	10 kg
Underlying Price Quote	Ex-Ahmedabad (inclusive of all taxes and levies relating to import duty, customs but excluding sales tax and VAT, any other additional tax or surcharge on sales tax, local taxes and octroi or GST as applicable)
Strikes	**50 In-the-money, 50 Out-of-the-money and 1 Near-the-money. (101 CE and 101 PE).** The Exchange, at its discretion, may introduce additional strikes, if required.
Strike Price Intervals	Rs. 100
Base price	Base price shall be theoretical price on Black 76 option pricing model on the first day of the contract. On all other days, it shall be previous day's Daily Settlement Price of the contract.
Tick Size (Minimum Price Movement)	Re. 0.50
Daily Price Limit	The upper and lower price band shall be determined based on statistical method using Black76 option pricing model and relaxed considering the movement in the underlying futures contract. In the event of freezing of price ranges even without a corresponding price relaxation in underlying futures, if deemed necessary, considering the volatility and other factors in the option contract, the Daily Price Limit shall be relaxed by the Exchange.
Margins	The Initial Margin shall be computed using SPAN

	(Standard Portfolio Analysis of Risk) software, which is a portfolio based margining system. To begin with, the various risk parameters shall be as under: A. Price Scan Range – 3.5 Standard Deviation (3.5 sigma) B. Volatility Scan Range – Minimum 4% or as decided by MCXCCL from time to time. For applicable VSR refer latest circulars issued by MCXCCL. C. The Short Option Minimum Margin (SOMM) and Margin Period of Risk (MPOR) shall be in accordance with SEBI Circular no. SEBI/HO/CDMRD/DRMP/CIR/P/2020/15 dated January 27, 2020. For applicable SOMM and MPOR refer latest circulars issued by MCXCCL from time to time. D. Extreme Loss Margin – Minimum 1% (to be levied only on short option positions)
Premium	Premium of buyer shall be blocked upfront on real time basis.
Margining at client Level	Initial Margins shall be computed at the level of portfolio of individual clients comprising of the positions in futures and options contracts on each commodity
Real time computation	The margins shall be recomputed using SPAN at Begin of Day, 9.30 am, 11.00 am, 1.00 pm, 3.00 pm, 5.00 pm, 7.00 pm, 8.30 pm, 10.30 pm and End of Day.
Mark to Market	The option positions shall be marked to market by deducting / adding the current market value of options positions (positive for long options and negative for short options). Mark to Market gains and losses would not be settled in Cash for Options Positions.
Risks pertaining to option that devolve into futures on expiry	a) In the initial phase, a sensitivity report shall be provided to members of the impending increase in margins atleast 2 days in advance. The mechanism shall be reviewed and if deemed necessary, pre-expiry option margins shall be levied on the buy / sell / both positions during last few days before the expiry of option contract. b) The penalty for short collection / non collection due to increase in initial margins resulting from devolvement of options into futures shall not be levied for the first day.
Additional and/ or Special Margin	At the discretion of the Exchange when deemed necessary
Position Limits	
Maximum Allowable Open	Position limits for options would be separate from the

Position	position limits applicable on futures contracts. For client level: 10 MT or 5% of the market wide open position whichever is higher - For all Gold Options contracts combined together. For a member level: 100 MT or 20% of the market wide open position whichever is higher - For all Gold Options contracts combined together. Upon expiry of the options contract, after devolvement of options position into corresponding futures positions, open positions may exceed their permissible position limits applicable for future contracts. Such excess positions shall have to be reduced to the permissible position limits of futures contracts within two trading days.
Settlement	
Settlement of premium/Final Settlement	T+1 day
Mode of settlement	On expiry of options contract, the open position shall devolve into underlying futures position as follows: - • long call position shall devolve into long position in the underlying futures contract • long put position shall devolve into short position in the underlying futures contract • short call position shall devolve into short position in the underlying futures contract • short put position shall devolve into long position in the underlying futures contract All such devolved futures positions shall be opened at the strike price of the exercised options
Exercise Mechanism at expiry	All In the money (ITM)# option contracts shall be exercised automatically, unless 'contrary instruction' has been given by long position holders of such contracts for not doing so. The ITM option contract holders, who have not submitted contrary instructions, shall receive the difference between the Settlement Price and Strike Price in Cash as per the settlement schedule. In the event contrary instruction are given by ITM option position holders, the positions shall expire worthless. All Out of the money (OTM) option contracts shall expire worthless. All devolved futures positions shall be considered to be opened at the strike price of the exercised options. All exercised contracts within an option series shall be assigned to short positions in that series in a fair and non-preferential manner # *ITM for call option = Strike Price < Settlement Price* *ITM for put option = Strike Price > Settlement Price.*
Due Date Rate (Final Settlement Price)	Daily settlement price of underlying futures contract on the expiry day of options contract.

Contract Launch Calendar for Gold Mini Options with Gold Mini (100 grams) Futures as underlying

Options Contract Launch Months	Options Contract Expiry Months	Corresponding Futures Contract Expiry Months
September 2024	November 2024	December 2024
October 2024	December 2024	January 2025
November 2024	January 2025	February 2025
December 2024	February 2025	March 2025
January 2025	March 2025	April 2025
February 2025	April 2025	May 2025
March 2025	May 2025	June 2025
April 2025	June 2025	July 2025
May 2025	July 2025	August 2025
June 2025	August 2025	September 2025
July 2025	September 2025	October 2025
August 2025	October 2025	November 2025
September 2025	November 2025	December 2025
October 2025	December 2025	January 2026
November 2025	January 2026	February 2026
December 2025	February 2026	March 2026

(Reference Circular No.: MCX/TRD/874/2023 dated December 14, 2023, Circular No.: MCX/TRD/734/2024 dated November 05, 2024 & Circular No.: MCX/TRD/756/2024 dated November 14, 2024)